

Fictional Home Loan Agreement

1. Loan Description & Type

This document constitutes a fictional Home Loan agreement between Apex Home Loans Ltd. ("Lender") and Arthur Pendelton ("Borrower"). The purpose of this loan is to finance the acquisition of a residential property located at 123 Maple Street.

2. Stated Interest Rate & APR

The stated nominal interest rate for this home loan is 5.5% per annum, computed on a monthly reducing balance basis. In addition to the interest, there is a one-time upfront legal and processing fee of \$150. Based on these transparent charges, the estimated effective annual percentage rate (Effective APR) is calculated at 5.7%.

3. Repayment Terms & Borrower Protections

The loan shall be repaid in 240 equal monthly installments. The Borrower reserves the right to prepay the outstanding principal amount, either in part or in full, at any time without incurring any prepayment penalties, fees, or interest surcharges. The Lender requires 10 days notice in writing prior to any early prepayment.

4. Default & Grace Period

A grace period of 15 days is allowed for each monthly payment. In the event of a late payment beyond the grace period, standard interest rates will apply to the overdue amount.